

Employee Performance Evaluation



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LEARNING OUTCOME

- Learn the importance of effective performance appraisal of employees.
- Aware on the process of employee performance appraisal.
- Learn on issues related with the employee performance appraisal process and how to minimize such issues.

Performance Evaluation

- Setting work standards.
- Assessing the actual performance of employee against the set standards.
- Provide feedback to employee as to motivate to continue the existing performance level or improve the performance up to the expected level.

Requirement for Employee Performance

- To determine remuneration and promotions. ^{Wethanaya}
- Allow employee and the superior ^{Usas} to discuss and develop plans and take corrective actions if needed.
- It is an opportunity to review the employee's career plan.
- Require for performance management process – identifying, measuring and developing the performance of individuals.

Steps in appraising performance

- Defining the job –employee and the superior agree on the duties and job standards. Job descriptions may not sufficient as those were written mostly for group of jobs.
- Appraising performance – comparing the actual performance against set standards.
- Feedback session – discuss the performance and progress and make plans for the development of the organization, if required.

Sample – part of the performance appraisal form

Name _____ Rating period from _____ to _____ Rater name _____ Rater title _____ Department _____	<table border="1" style="width: 100%; border-collapse: collapse;"><tr><th colspan="2" style="text-align: center; padding: 5px;">Rating Scale Key</th></tr><tr><td style="text-align: center; padding: 5px;">☐ 1</td><td style="padding: 5px;">Fails to meet job requirements</td></tr><tr><td style="text-align: center; padding: 5px;">☐ 2</td><td style="padding: 5px;">Meets most job requirements</td></tr><tr><td style="text-align: center; padding: 5px;">☐ 3</td><td style="padding: 5px;">Fully meets all job requirements</td></tr><tr><td style="text-align: center; padding: 5px;">☐ 4</td><td style="padding: 5px;">Exceeds all job requirements</td></tr></table>	Rating Scale Key		☐ 1	Fails to meet job requirements	☐ 2	Meets most job requirements	☐ 3	Fully meets all job requirements	☐ 4	Exceeds all job requirements
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Part II: Rating Scales for Task Areas											
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Thakseru krama

Appraisal methods

- Graphical rating scale method
- Alternation ranking method
- Paired comparison method
- Critical incident method
- Management by Objective (MBO) method
- Mixing the methods



Performance Appraisal

Employee Name _____ Title _____

Department _____ Employee Payroll Number _____

Reason for Review: ☐ Annual ☐ Promotion ☐ Unsatisfactory Performance
☐ Merit ☐ End Probation Period ☐ Other _____

Date employee began present position ____/____/____

Date of last appraisal ____/____/____ Scheduled appraisal date ____/____/____

Instructions: Carefully evaluate employee's work performance in relation to current job requirements. Check rating box to indicate the employee's performance. Indicate N/A if not applicable. Assign points for each rating within the scale and indicate in the corresponding points box. Points will be totaled and averaged for an overall performance score.

RATING IDENTIFICATION

O—Outstanding—Performance is exceptional in all areas and is recognizable as being far superior to others.

V—Very Good—Results clearly exceed most position requirements. Performance is of high quality and is achieved on a consistent basis.

G—Good—Competent and dependable level of performance. Meets performance standards of the job.

I—Improvement Needed—Performance is deficient in certain areas. Improvement is necessary.

U—Unsatisfactory—Results are generally unacceptable and require immediate improvement. No merit increase should be granted to individuals with this rating.

N—Not Rated—Not applicable or too soon to rate.

GENERAL FACTORS	RATING SCALE			SUPPORTIVE DETAILS OR COMMENTS	
1. Quality —The accuracy, thoroughness, and acceptability of work performed.	O	☐	100–90	Points	
	V	☐	90–80		
	G	☐	80–70		
	I	☐	70–60		
	U	☐	below 60		
2. Productivity —The quantity and efficiency of work produced in a specified period of time.	O	☐	100–90	Points	
	V	☐	90–80		
	G	☐	80–70		
	I	☐	70–60		
	U	☐	below 60		
3. Job Knowledge —The practical/technical skills and information used on the job.	O	☐	100–90	Points	
	V	☐	90–80		
	G	☐	80–70		
	I	☐	70–60		
	U	☐	below 60		
4. Reliability —The extent to which an employee can be relied upon regarding task completion and follow-up.	O	☐	100–90	Points	
	V	☐	90–80		
	G	☐	80–70		
	I	☐	70–60		
	U	☐	below 60		

Graphical rating scale method -

A scale that lists a number of traits and a range of performance for each that is used to identify the score that best describes an employee's level of performance for each trait.

ALTERNATION RANKING SCALE

For the Trait: _____

For the trait you are measuring, list all the employees you want to rank. Put the highest-ranking employee's name on line 1. Put the lowest-ranking employee's name on line 20. Then list the next highest ranking on line 2, the next lowest ranking on line 19, and so on. Continue until all names are on the scale.

Highest-ranking employee

1. _____	11. _____
2. _____	12. _____
3. _____	13. _____
4. _____	14. _____
5. _____	15. _____
6. _____	16. _____
7. _____	17. _____
8. _____	18. _____
9. _____	19. _____
10. _____	20. _____

Lowest-ranking employee

Alternation ranking method

Ranking employees from best to worst on a particular trait, choosing highest, then lowest, until all are ranked.

FOR THE TRAIT "QUALITY OF WORK"

Employee Rated:

As Compared to:	A Art	B Maria	C Chuck	D Diane	E José
A Art		+	+	-	-
B Maria	-		-	-	-
C Chuck	-	+		+	-
D Diane	+	+	-		+
E José	+	+	+	-	

Maria Ranks Highest Here

FOR THE TRAIT "CREATIVITY"

Employee Rated:

As Compared to:	A Art	B Maria	C Chuck	D Diane	E José
A Art		-	-	-	-
B Maria	+		-	+	+
C Chuck	+	+		-	+
D Diane	+	-	+		-
E José	+	-	-	+	

Art Ranks Highest Here

Paired comparison method

Ranking employees by making a chart of all possible pairs of the employees for each trait and indicating which is the better employee of the pair.

Note: + means "better than." – means "worse than."
For each chart, add up the number of 1's in each column to get the highest-ranked employee.

Continuing Duties	Targets	Critical Incidents
Schedule production for plant	90% utilization of personnel and machinery in plant; orders delivered on time	Instituted new production scheduling system; decreased late orders by 10% last month; increased machine utilization in plant by 20% last month
Supervise procurement of raw materials and inventory control	Minimize inventory costs while keeping adequate supplies on hand	Let inventory storage costs rise 15% last month; overordered parts "A" and "B" by 20%; underordered part "C" by 30%
Supervise machinery maintenance	No shutdowns due to faulty machinery	Instituted new preventative maintenance system for plant; prevented a machine breakdown by discovering faulty part

Critical incident method

Issues in conducting an effective employee appraisal

- Unclear performance standards
- Halo effect
- Central tendency
- Strictness
- Bias



Minimize the appraisal problems

- Aware on possible issues related to the appraisal process.
- Choose right appraisal tool or combination of tools.
- Training supervisors to avoid problems.
- Get agreement on a plan.
- Be fair.

- Study on what are the advantages and disadvantages of each appraisal methods.